

SINCE 1993 · NEVER A PENNY MORE



SONORA ICED TEA CO.

99¢. THIRTY-THREE YEARS. NO EXCEPTIONS.

REQUEST FOR PROPOSAL

Protecting the 99¢ Promise: A Five-Year Cost & Margin Strategy

Issued by Sonora Iced Tea Co. · Office of the CFO

August 5, 2026 · CONFIDENTIAL — FOR AUTHORIZED RECIPIENT USE ONLY

1. Executive Summary

For 33 years, Sonora Iced Tea Co. has sold its signature canned iced tea at 99 cents — a price we have never raised, through recessions, packaging redesigns, and a 15-fold increase in distribution. That price is not a marketing gimmick; it is our brand's defining promise to the customers who have made us a household name without a single dollar of traditional advertising.

That promise is now under real financial pressure. Over the past three years, aluminum can costs have risen 18%, sugar and tea inputs 12%, and inbound freight 9%. Leadership has made clear that the 99-cent price will hold for at least the next five years.

Just as important: we will not fund that promise by cutting employee wages or benefits, or by compromising the recipe our customers trust. Our workforce's long tenure and low turnover are as core to who we are as the price on the can.

We are issuing this RFP to identify a consulting partner who can find the cost and margin discipline needed elsewhere in the business to keep both promises intact for five more years.

2. About Sonora Iced Tea Co.

Category	Details
Headquarters	Northeast United States
Ownership	Privately held, family-owned
Employees	~2,000
Distribution	100,000+ retail locations nationwide
Signature Price Point	\$0.99/can, unchanged since 1993
Marketing Approach	No traditional advertising; built through packaging, price, and word of mouth

3. Scope of Work

3.1 Cost-to-Serve & Margin Diagnostic

- Full cost-to-serve analysis across procurement, manufacturing, packaging, and logistics
- Identify the cost drivers most threatening the 99-cent price over a five-year horizon
- Benchmark cost structure against comparable beverage manufacturers

3.2 Procurement & Supply Chain Optimization

- Evaluate supplier contracts for aluminum, sugar, tea inputs, and packaging
- Identify renegotiation, hedging, or sourcing-diversification opportunities
- Assess packaging/logistics network for savings that don't affect product quality

3.3 Five-Year Price-Protection Roadmap & Scenario Modeling

- Financial model showing the path to holding the price for five years under multiple cost scenarios
- Phased roadmap of savings initiatives, sequenced and sized in dollars
- Explicitly rule out any scenario relying on reduced wages/benefits or ingredient downgrades

4. Required Deliverables

Deliverable	Description
D1 — Cost-to-Serve Diagnostic Report	Full cost driver analysis and benchmarking
D2 — Procurement & Supplier Renegotiation Playbook	Actionable renegotiation and sourcing recommendations
D3 — Packaging & Logistics Optimization Plan	Savings that preserve product and brand quality
D4 — Five-Year Scenario Model & Roadmap	Financial model and phased savings roadmap
D5 — Board Presentation	Leadership-ready recommendation and risk discussion

5. Proposal Requirements

5.1 Executive Summary

Approach overview, credentials, differentiators, timeline and investment.

5.2 Firm Qualifications & Experience

- CPG/beverage cost and margin optimization experience
- Experience protecting a pricing commitment under input-cost inflation
- Experience with privately held/family-owned companies where financial engineering must respect non-financial commitments

5.3 Proposed Approach & Methodology

Phase-by-phase methodology, benchmarks, financial modeling approach, stakeholder engagement model.

5.4 Team Composition

Proposed team structure, named key personnel, role and time commitment.

5.5 References

Minimum two (2) references from similar cost/margin engagements in the past 36 months; beverage/CPG preferred.

5.6 Proposed Timeline

Start date, duration, milestones, deliverable dates.

5.7 Cost Proposal

Fixed-fee or time-and-materials pricing by phase and deliverable.

6. Proposal Evaluation Criteria

Criterion	Weight & Description
Understanding of Brand Promise & Culture	25% — The price and employee treatment are non-negotiable, not cost targets
Cost & Margin Optimization Approach	25% — Rigor and creativity of the savings methodology
Team Qualifications	20% — Relevant CPG/beverage cost optimization experience
Cost & Value	15% — Competitiveness and transparency of pricing
References & Past Performance	15% — Quality and relevance of references

7. Submission Instructions & Timeline

Milestone	Target Date
RFP Issue Date	August 5, 2026
Vendor Q&A Window	August 6–16, 2026
Proposal Due Date	August 26, 2026
Anticipated Award Date	September 16, 2026
Target Engagement Start	October 1, 2026

Proposals must be submitted electronically in PDF format. Maximum length: 45 pages excluding appendices and resumes.

8. Terms & Conditions

- Sonora reserves the right to cancel this RFP at any time without obligation
- Submission of a proposal does not guarantee award of a contract

Non-negotiable: Any recommendation that reduces employee wages or benefits, or downgrades ingredient quality or recipe, will be rejected outright regardless of projected savings.

9. Primary Contact

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Sonora Iced Tea Co. is a fictional company created for internal testing of a business-development proposal tool. It is not a real business.